SOURCES SOUGHT & OTHER TRANSACTION AUTHORITY (OTA)
MARKET RESEARCH

DEPARTMENT OF THE ARMY
FORT WORTH DISTRICT, U.S. ARMY CORPS OF ENGINEERS
819 TAYLOR STREET
FORT WORTH, TEXAS 76102-0300

CESWF-CT 13 October 2026

MEMORANDUM FOR ALL PROSPECTIVE OFFERORS AND INTERESTED INDUSTRY PARTNERS

SUBJECT: Sources Sought (RFI) – Non-Destructive Testing Facility

1. DISCLAIMER. THIS IS A REQUEST FOR INFORMATION (RFI) / SOURCES SOUGHT NOTICE ONLY. This notice is issued solely for market research, information, and planning purposes. It does not constitute a Request for Proposals (RFP), a Request for Qualifications (RFQ), or a commitment by the Government to write, issue, or award an agreement or contract. The Government will not pay for any information or administrative costs incurred in response to this notice. All response costs will be borne solely by the interested party.

2. PURPOSE. The U.S. Army Corps of Engineers (USACE), Fort Worth District, is conducting active public market intelligence to gauge industry interest, capacity, and capability from commercial construction firms, design-builders, and Non-Traditional Defense Contractors (NDCs). The intent is to gather critical feedback regarding advanced commercial construction methodologies, project delivery risks, and acquisition preferences to support our upcoming project delivery selection.

3. ACQUISITION STRATEGY & NON-FAR MODEL.

a. Statutory Authority: This project will potentially be executed as a Progressive Design-Build (PDB), Design-Build to Budget (DBtB) or Construction Management at Risk (CM@Risk) project utilizing Other Transaction Authority (OTA) pursuant to 10 U.S.C. § 2808a.

b. Non-FAR Environment: Prospective partners are advised that the Federal Acquisition Regulation (FAR) does NOT apply to this procurement. The negotiated, bilateral Other Transaction Agreement will serve as the sole governing contract. Standard FAR clauses are inapplicable, though federal statutory constraints (such as federal fiscal law, criminal statutes, and general civil laws) remain fully applicable.

c. Agreement Mechanics:

(1) PBD Procurement Process: Phase 1, Design & Pre-Construction Services, a design-builder will be selected through a qualifications-based selection (QBS) process. The government will then negotiate a fee for Phase 1 services. There is no requirement to submit price proposals or design concepts during the initial selection.

Phase 2, Final Design & Construction, is executed via a bilateral modification to the OT Agreement upon successful negotiation of a Guaranteed Maximum Price (GMP) at approximately 65% design maturity. The Agreement contains an "off-ramp" clause allowing the Government to retain the design and procure construction separately if GMP negotiations fail.

(2) DBtB Procurement Process: Solicitation and evaluation during Phase 1 focuses on the qualifications, past performance, and integrated Design-Build experience of each offeror. The Government is evaluating the team and not necessarily how the offeror will design the structure. The Phase 1 evaluation results in the selection of three of the most highly qualified, competitive teams to proceed to Phase 2.

Phase 2, the Government will issue the final RFP exclusively to the down-selected teams. This RFP includes the validated, performance-based requirements, establishes the firm Construction Cost Limit (CCL), and clearly defines the basic scope.

(3) CM@Risk Procurement Process: Early involvement, separate contracts, guaranteed maximum price and collaborative delivery.

4. PROJECT OVERVIEW & SCOPE.

a. Title: Non-Destructive Testing Facility
b. Location: Red River Army Depot, Texas

Scope: Construct an 8,000 SF Drive-through Depot Maintenance Shop for the non-destructive testing (NDT) of tactical vehicles, combat vehicles, and vehicle components. NDT is required to evaluate the integrity of welds, internal defects, structural capability, and condition of asset materials. The facility will include radiation protective shielding to allow for the existing x-ray equipment to be safely utilized at full potential and permit upgrades and improvements to the industrial x-ray system. The building will also facilitate the consolidation, expanded capability, as well as training for other NDT equipment including ultrasonic, dye penetrant, magnetic particle inspection, and laser scanning operations. The existing x-ray facility will be demolished.

a. Projected Award Date: The Government targets the formal award of the Agreement Phase 1 (Design and Preconstruction Services) on or before August 2027.

b. Current Design is at 65%. The Government is willing to revert to a 35% design, allowing the awardee and designer the ability to collaborate during an OTA procurement process.

c. Period of Performance (POP): The projected construction timeline is approximately 540 calendar days following the execution of the Phase 2 Construction modification.

d. Product Service Code (PSC): Y1JB (Construction of Testing and Measurement Building).

e. NAICS Code: 236220 (Commercial and Institutional Building Construction).

(1) INNOVATIVE METHODOLOGIES & FEEDBACK AREAS. The Government is seeking commercial industry feedback regarding the feasibility and market capacity for the following innovative methods:

i. Modular and Off-Site Prefabrication: Fabricating large sections of the facility or complex mechanical, electrical, and plumbing (MEP) systems in factory-controlled environments to compress the construction schedule.

ii. 3D Printing: Utilizing large-scale 3D printing for secondary building components, non-load-bearing walls, or perimeter security fencing.

iii. Advanced Materials: Incorporating self-healing concrete to reduce lifecycle maintenance and maximize structural integrity, or utilizing high-performance insulation (e.g., aerogels or vacuum-insulated panels) to meet high-performance building standards.

APPENDIX B

1. Project Overview & Mission Goal

- Project Name/Number: Non-Destructive Testing P2#:520249

- Location: Red River Army Depot, Texas

- Mission Statement: The US Army Corps of Engineers, Fort Worth District, has a requirement from Army to provide a Design-Bid-Build, Firm Fixed-Price contract to construct a new 8,000 sq. ft. space to a new Non-Destructive Testing Facility.

- The Government currently has a 65% design through an existing contract for the subject project and prefers to keep the existing A-E Designer involved in the project. This will mean the awardee for the subject project would partner with the existing A-E Designer, instead of choosing their own. The Government is willing to revert to a lesser design phase, no less than 35%, allowing the awardee and designer the ability to collaborate during an OTA procurement process (i.e., PDB, DBtB or CM@Risk).

2. Functional Requirements (The "What")

- Facility Type: Depot level maintenance workshop
- Estimated Scale: 5,698 sq. ft.
- Primary Functional Space:
- Space A: X-Ray Control Room
- Space B: Communications Room
- Space C: Welding/Mechanical Room
- Space D: Common Area
- Space E: Conference/Classroom
- Space F: Office Area/Restrooms
- Space G: Drive Through Bay
- Key Performance Targets: All work will meet DoD standards for security, anti-terrorism, and cybersecurity.

3. Known Project Constraints

- Site Conditions: Existing soil conditions typically require additional pier support or over excavation for facility.

- Security/Access: Project is located inside the cantonment area; all personnel must undergo background checks for site access.

- Utilities: Privatized Utilities will provide utilities for facility up to point of demarcation.

4. The Construction Cost Limitation (CCL)

- The Fixed Budget: The Target Price Range (TPR) is estimated to be between $8,000,000 and $8,500,000. The Construction Cost Limit (CCL) is estimated at $8,175,103.00 with a total Programmed Amount (PA) of $8,100,000.

- What it Includes: This amount covers all design services and construction. It excludes Government-furnished equipment (GFE).

- The DBB Challenge: USACE is seeking a design-build team that can provide the highest level of technical merit, quality, and mission-capability.

5. Proposed Project Schedule

- Period of Performance: 540 Calendar Days from Notice to Proceed.

- Critical Milestones:
  - Solicitation Release – Jan 2027
  - Proposals Received – Feb 2027
  - Proposal Revisions Submitted – Feb - Mar 2027
  - Contact Award – Apr 2027

6. OTA vs FAR Based Acquisition

- The purpose of this market research is to assist the Government in determining if OTA or a FAR-based acquisition is appropriate. The next page provides information for two OTA procurement methods and one FAR based procurement method (i.e., Highest Technically Rated).

- Stipends: A stipend is not authorized.

- Incentives: Not mentioned in the source selection plan.

Progressive Design-Build –

Progressive Design-Build is a collaborative project delivery method where the owner selects a design-builder based on their qualifications and experience, rather than on a detailed bid. Success hinges on proactive, early integration of construction expertise, a commitment to transparent "open-book" estimating, and a culture of collaborative decision-making.

Defining characteristics of PDB:

- One integrated team: The Government selects a design-builder—designer and constructor working as one team—at the beginning of project development, before a meaningful amount of design is complete.

- Qualifications led selection: Selection focuses heavily, and often exclusively in the initial stage, on relevant experience, past performance, technical capability, proposed personnel, and ability to collaborate—not a low construction bid.

- Construction not priced at award: The initial agreement award Phase 1 services. The price for construction, such as a guaranteed maximum price (GMP) is set only once the design, scope, schedule, and risks have been sufficiently developed.

Design-Build to Budget –

Design-Build to Budget is a project delivery method where the project's budget is established as a firm, fixed design constraint from the beginning. Its ultimate outcome is a fixed-price contract with a single, integrated design-build team.

The defining characteristics of DBtB are:

- Budget as a Primary Driver: Unlike other methods where the design determines the final cost, DBtB challenges the industry to innovate and provide the best possible technical solution *within* a pre-established, maximum budget.

- Performance-Based Requirements: The owner defines what the facility must achieve (performance, operational needs, quality) but does not provide a prescriptive design. This leaves the *how* entirely up to the competing design-build teams.

- Collaborative Refinement: The procurement process involves confidential, proprietary meetings with shortlisted teams. In these meetings, the owner provides feedback on preliminary concepts, allowing teams to refine their solutions to best align with the project's goals before submitting a final proposal.

Construction Management at Risk (CM@Risk) –

Construction Management at Risk is a delivery method in which the owner hires a construction manager during design to provide preconstruction support and later serve as the general contractor. The CM@Risk firm commonly delivers the project under a Guaranteed Maximum Price (GMP).

The defining characteristics of CM@Risk are:

• Early Involvement: The CM@Risk provides cost estimating, scheduling, constructability reviews, and procurement advice during design.

• Separate Contracts: The owner contracts separately with the architect/engineer and the CM@Risk firm, which typically manages the trade subcontractors.

• Guaranteed Maximum Price: The CM@Risk develops a GMP and accepts defined cost and construction-performance risk within that agreement.

• Collaborative Delivery: The owner, designer, and CM@Risk coordinate throughout the project; phased construction may begin before design is fully complete.

VI. Additional Inquiries or Comments

We have established a ProjNet, http://www.projnet.org/projnet, for additional inquires and questions. To self-register go to web page, click Quick Add link, select agency USACE, enter Key for this solicitation listed below, and your e-mail address, click Continue. Fill in all required information and click Add User. Verify that information on next screen is correct and click continue. From this page you may view all bidder inquiries or add inquiry. Bidders will receive an acknowledgement of their question via email, followed by an answer to their question after it has been processed by our technical team.

ProjNet-Project ID Number: 520249
ProjNet-Key Number: HN7RK8-HPTEHG

Technical Question and Cutoff for This Sources Sought Notice: Please submit all questions and concerns regarding this Sources Sought Notice through Projnet ONLY. The absolute cutoff for all inquiries is Friday 6 November, 2026, NLT 2:00 p.m. Central Daylight Time (CDT).

Capability Statement Response and Complete Package Submission Deadline:

Friday, 13 November 2026, NLT 2:00 p.m. CDT. Please email complete package to Octavia Gregory (CS) and Carbon Copy (CC) Shayla Lucas- Contracting Officer.

FUTURE INDUSTRY DAY: A virtual Industry Day is being scheduled; however, a specific date and time have not yet been established. This scheduling information, along with registration details and access links, will be published in a subsequent Special Notice on SAM.gov.

We ask all interested parties to closely monitor SAM.gov for these upcoming details. During the session, the USACE Project Delivery Team (PDT) and Red River Army Depot representatives will discuss the collaborative mechanics of the potential OTA model.

Market Intelligence Report: Industry Day/First Look Questionnaire

General Feasibility & Model Selection (DBtB vs. PDB vs. CM@Risk)

1. Agreement Preference: The Government is exploring the use of an Other Transaction (OT) Agreement for this construction project to potentially increase collaboration, speed, and innovation. For this specific project, do you believe an OT agreement is the most appropriate vehicle, or would your firm prefer a traditional FAR-based contract? Please explain your reasoning.

Your Answer:

[Please type your detailed reasoning here]

2. OT Risk & Barriers: If the Government chooses to proceed with an OT framework rather than a traditional FAR Part 15 procurement, does your firm foresee any barriers, risks, or hesitations in proposing on or executing this project?

[ ] No
[ ] Yes

[If yes, please explain the barriers, risks, or hesitations here]

3. Model Viability: Based on the parameters provided in the Project Information Packet (Appendix B), does your firm believe it is feasible to propose a reliable, fixed price (including incentives) for this project after a 2-3 month collaborative design refinement period?

Your Answer:

☐ Yes, a reliable price is likely achievable.

☐ No, there is too much risk/uncertainty to provide a reliable price this early.

4. Risk Justification: Please explain your reasoning for the answer above. What are the top 1-3 factors (e.g., project complexity, site conditions, clarity of functional requirements) that influenced your choice?

Your Answer:

Factor 1	*Type Factor here*	*[Please type your Factor 1 justification here]*
Factor 2	*Type Factor here*	*[Please type your Factor 2 justification here]*
Factor 3	*Type Factor here*	*[Please type your Factor 3 justification here]*

5. PDB Threshold: If you answered "No" to Question 1, at what level of design maturity (e.g., 35%, 60%, 90%) would your firm feel confident in providing a reliable, fixed price or Guaranteed Maximum Price (GMP) through a Progressive Design-Build process?

Your Answer:

☐ 35%

☐ 60%

☐ 90%

[Please type your detailed reasoning here]

I. Budget & Financial Realism

1. Budget Alignment: Based on your firm's recent experience with similar projects, does the proposed Construction Cost Limitation (CCL) of $8.1M for approximately 8,000 square feet complex facility appear realistic in the current local market?

Your Answer:

[Please provide your assessment here]

2. Major Cost Drivers: From a high-level view of our functional requirements, do you see any specific mission needs (e.g., specialized security, unique structural loads) that you anticipate will be the primary drivers of cost?

Your Answer:

[Identify potential primary cost drivers here]

3. Market Precedents: Are there specific benchmarks or recent industry projects we should look at to ensure our expectations for quality and performance align with this budget?

Your Answer:

[Identify potential projects and locations here]

II. Flexibility & Innovation (The "How")

1. Prescriptive "Showstoppers": Are there any requirements in our functional description that appear overly prescriptive or "locked-in" that might prevent you from offering a more innovative or cost-effective solution to meet the mission?

Your Answer:

[Identify any restrictive requirements here]

2. Innovation Opportunities: In this building type, where do you typically see the most opportunity for an integrated design-build team to provide "more for the money" (e.g., modular systems, envelope efficiency, MEP coordination)?

Your Answer:

[List innovation opportunities here]

III. Market & Supply Chain (External Risks)

1. Long-Lead Warning: Even without a full design, are there specific systems common to this facility type (e.g., generators, custom AHUs, specialized lab equipment) that are currently experiencing lead times that would threaten the proposed project schedule?

Your Answer:

[List any long-lead items of concern here]

2. Local Labor Constraints: Are there specific trades in the project area that are currently over-extended or in short supply that could impact the project's risk profile?

Your Answer:

[List any trades currently over extended or in short supply]

IV. Defining Value (The Betterment Search)

1. The Value Gap: If your team discovers or recommends any in design efficiencies during the proprietary meetings, which "betterments/enhancements" (e.g., enhanced durability, lower life-cycle costs, better technology) should we prioritize in our evaluation criteria as the most valuable for this facility type? (List 3-5 options for industry to rank).

Government "betterments/enhancements"	*Industry's Ranking*	Estimated Dollar Amount
Enhanced Durability	*[1-5]*	*$*
Lower Lift-Cycle Cost	*[1-5]*	*$*
Better Technology	*[1-5]*	*$*

2. Sustainability Targets: Is the proposed level of sustainability (e.g., Specific energy goals, etc.) a standard "reach" for industry, or will it require significant premium pricing in this market?

Your Answer:

[Provide your assessment on sustainability targets here]

V. Proposal Effort & Contract Incentives

1. Stipend Necessity: Given the requirement to participate in five proprietary meetings and develop a conceptual design for Phase 2 evaluation, is a stipend necessary for your firm to justify the pursuit costs of this procurement? Yes or no, and why?

☐ Yes

☐ No

[Your answer here]

2. Stipend Alignment: If a stipend is offered, what amount (or percentage of the CCL) does the market currently consider sufficient to offset the level of effort required for a Phase 2 proposal of this complexity?

Your Answer:

[Indicate the sufficient stipend amount or percentage here]

3. Effective Incentives: In a fixed-budget environment, what types of post-award contract incentives (e.g., award fee for exceptional quality, schedule acceleration, shared savings) are most effective at motivating your team to exceed minimum performance requirements?

Your Answer:

[Describe the most effective incentives here]